

Venture Capital and Entrepreneurial Management MGMT 264

The Global & US Venture Capital Industry

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Our Road Map.....

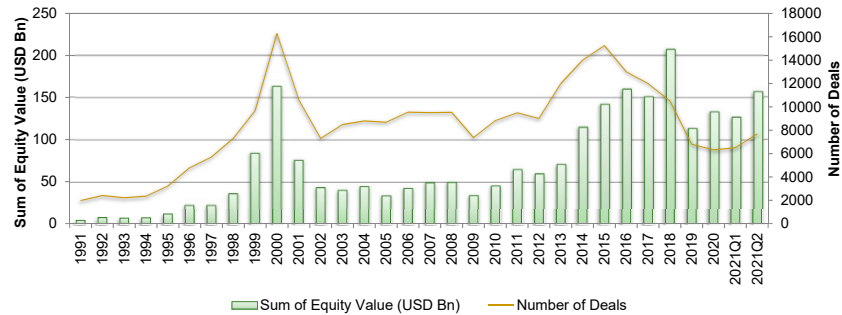
- The Global VC Industry
- Emerging Markets Fundraising and Investments
- BRIC Countries Investments
- The US VC Industry Today

The Global VC Industry

VC Investment

- Venture capital investment has been growing very fast since 1990. During 1990-2020, the annualized compounded growth rate is 11.88% and the average annual year-on-year growth rate is 18%.

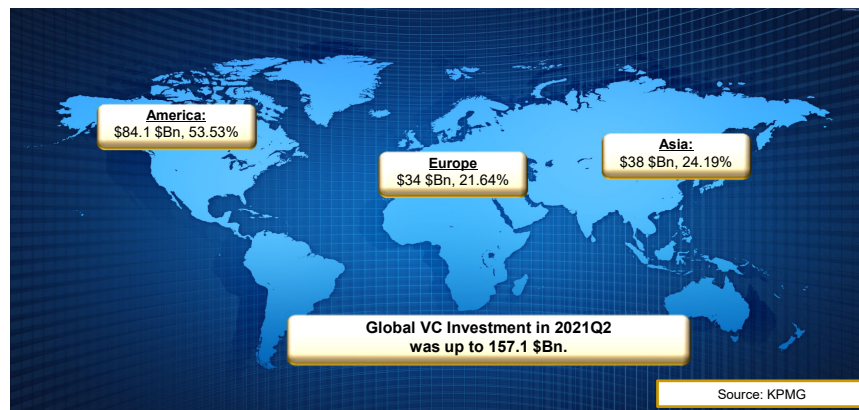
Figure: Global VC Investment (1991-2021Q2)



Global VC Investment

The Top Three VC Investment Regions

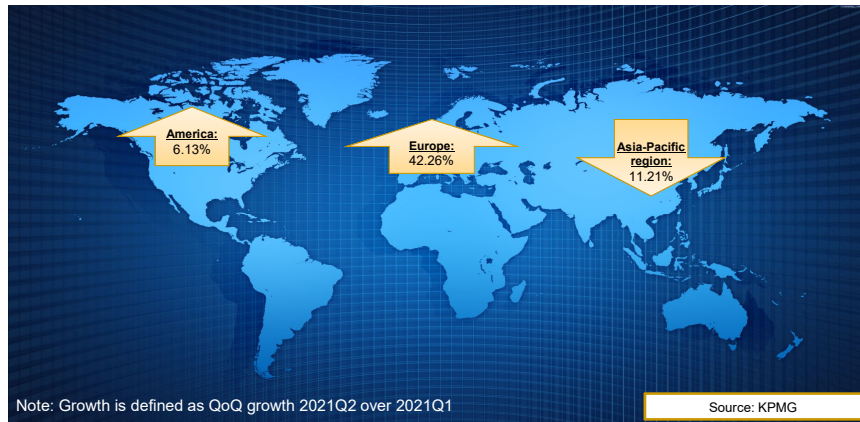
Figure: Global VC Investment in World Regions in 2021Q2 (\$Bn)



Global VC Investment

The Growth Rate of Top Three Investment Regions

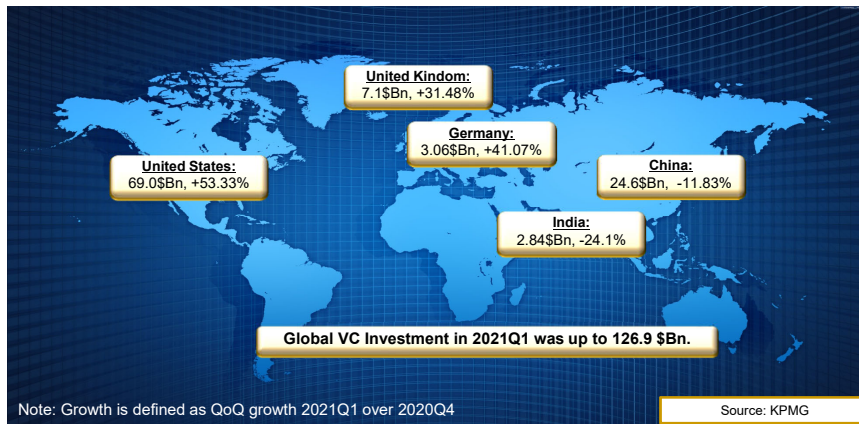
Figure: Global VC Investment Growth in World Regions in 2021Q2



Global VC Investment

The Top Five VC Investment Nations

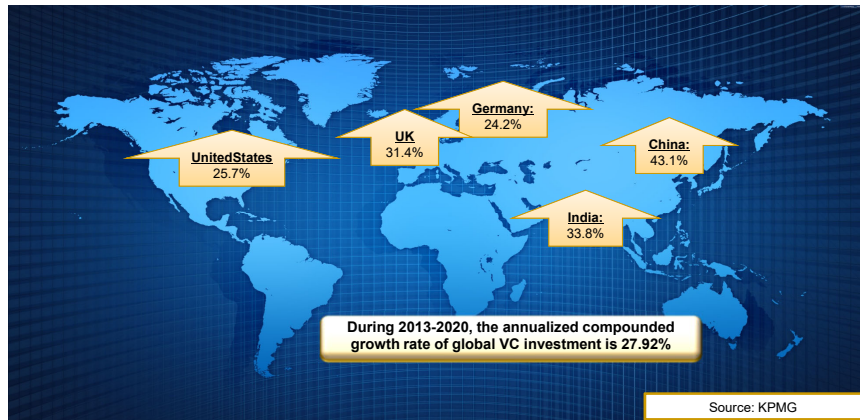
Figure: Global VC Investment in World Nations in 2021Q1



Global VC Investment

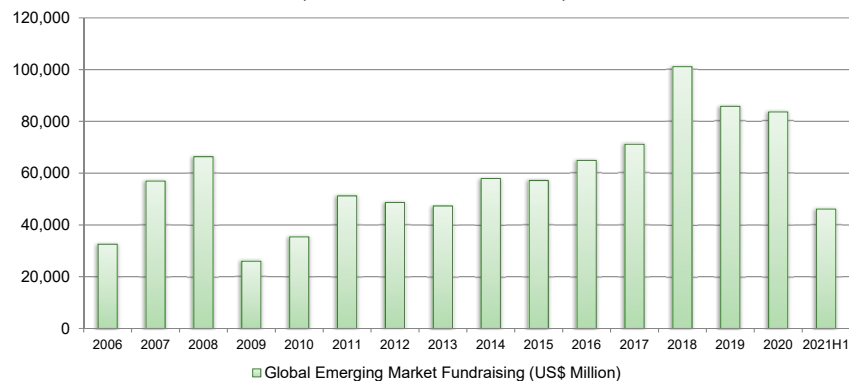
The Growth Rate of Top Five Investment Nations

Figure: Global VC Investment Growth in World Nations since 2013 to 2020
(Annualized Compounded Growth Rate)



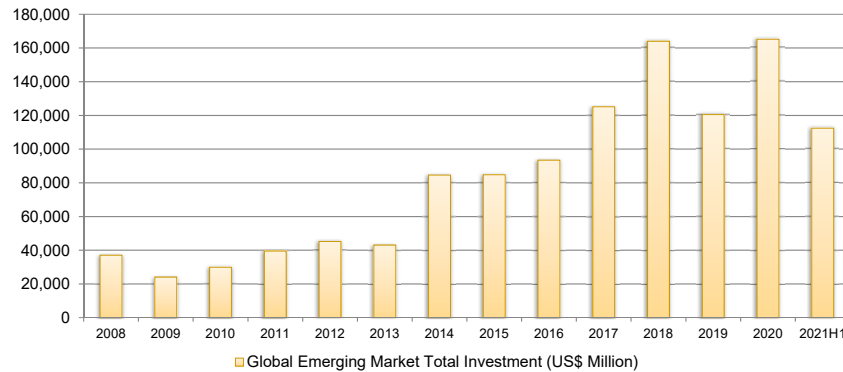
Global Emerging Market Fundraising

Private Capital Fundraising in Emerging Markets
(2006-2021H1, US \$ Million)



Global Emerging Market Total Investment

Private Capital Total Investment in Emerging Markets
(2008-2021H1, US \$ Million)

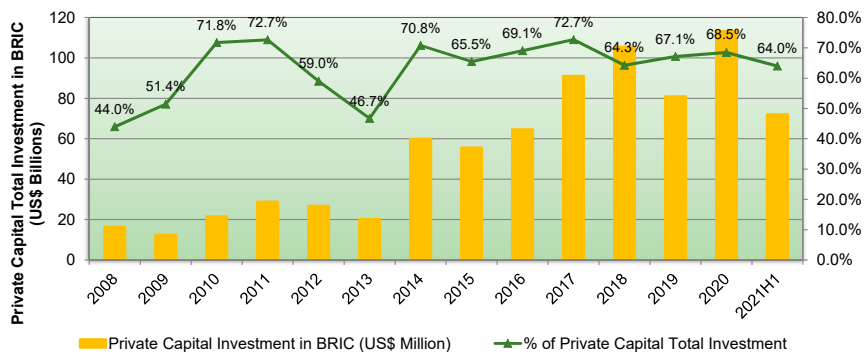


Source: GPCA

Private Capital Total Investment in "BRIC"

The Private Capital investment in BRIC as a percent of Emerging Market Private Capital Investment has increased from 44% in 2008 to 72.7% in 2011. Then the percentage went down to 46.7% in 2013 and increased back to 68.5% in 2020.

Figure: The Increasing Importance of BRIC as Private Capital Investment



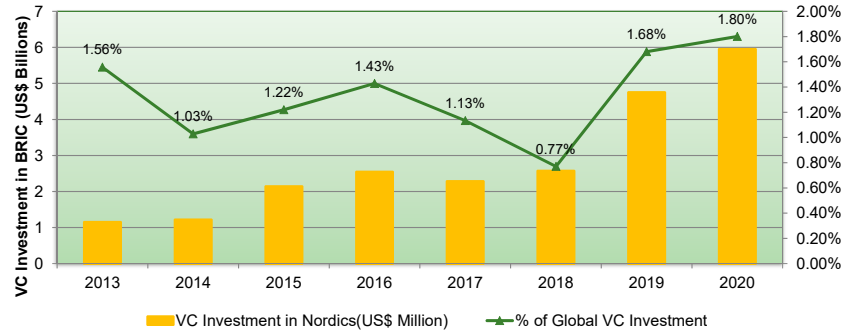
* BRIC stands for Brazil, Russia, India and China

Source: GPCA

VC Investment in “Nordics”

The VC investment in Nordics as a percent of global VC Investment has decreased from 1.56% in 2013 to 0.77% in 2018 and back up to 1.8% in 2020.

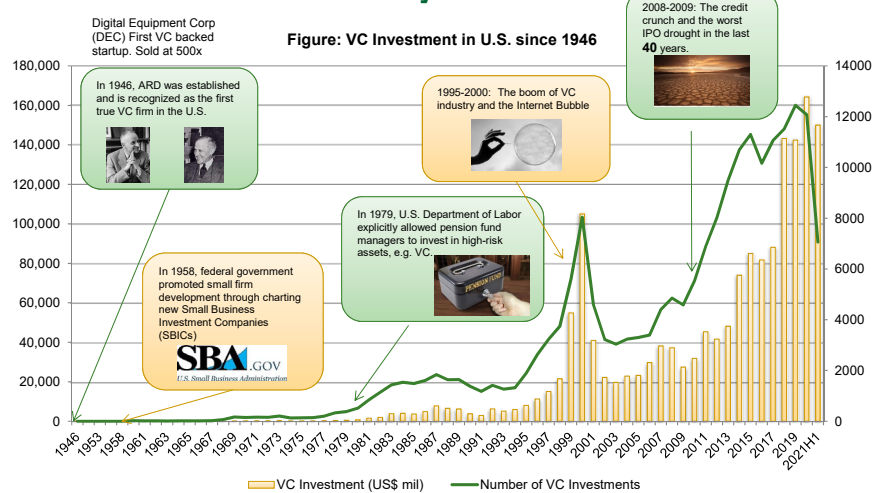
Figure: The Increasing Importance of Nordics as VC Investment Location



* Nordics stands for Denmark, Finland, Iceland, Norway, and Sweden

Source: KPMG

U.S. VC Industry – A Brief Note on History



Source: NVCA

How to measure performance in VC?
- IRR
- And number of times the original investment has multiplied

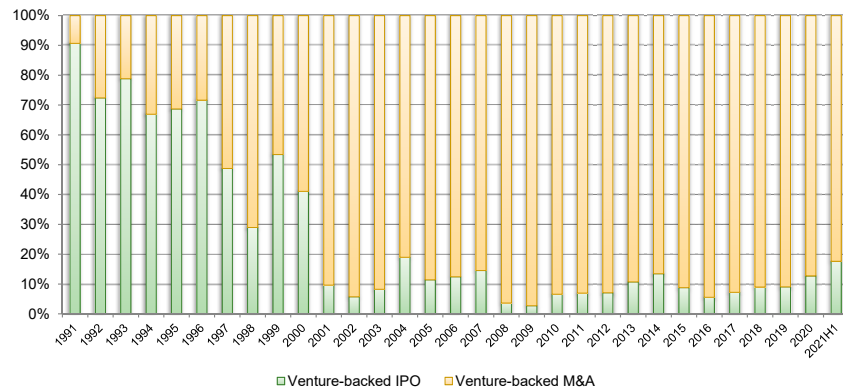
Value is realized at exit, through new acquisition or IPO

VC STATS
De 10 seed investments:
- 1 es un hit y va bien
- 3/4 van correctamente, sin ser demasiado buenas, pero no mueren
- 2/3 Living dead. No crecen pero no mueren
- 3/4 se pierde todo el dinero

U.S. VC Industry

- Exit

Figure: Number of Venture-backed IPOs vs. Number of Venture-backed M&As By Year



Source: NVCA & Pitchbook

IPO out of total exits went down over time.

As an investor you know that the change of exiting via M&A is currently higher, and more people would rather do that.

As a founder going to an IPO would not give you new expertise, while going to a corporate player you would get expertise or complimentary knowledge

U.S. VC Industry

- Exit

Figure: Exit: Number of IPOs By Year

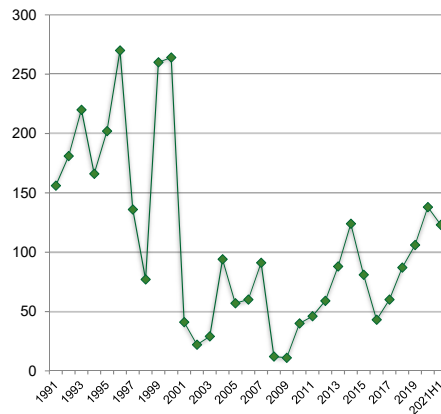
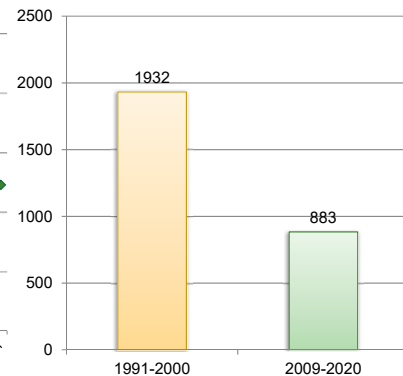


Figure: Comparison between 1991-2000 and 2009-2020 in the number of IPOs



Source: NVCA & Pitchbook

U.S. VC Industry

- Exit

Figure: Exit: Amount Raised via Venture-backed IPOs By Year (US\$ Million)

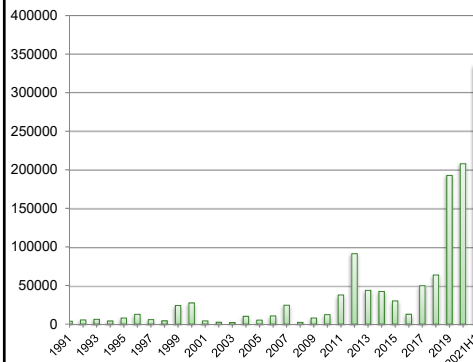
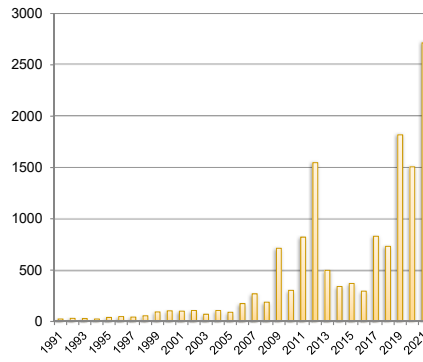


Figure: Exit: Average Venture-backed IPO Size By Year (US\$ Million)



Source: NVCA & Pitchbook & Dow Jones

Valuations are high, go public or sell if possible, as they are in historic highs and who knows what might happen in the future

U.S. VC Industry

- Exit

Figure: Exit: Venture-Backed M&A Activities By Year

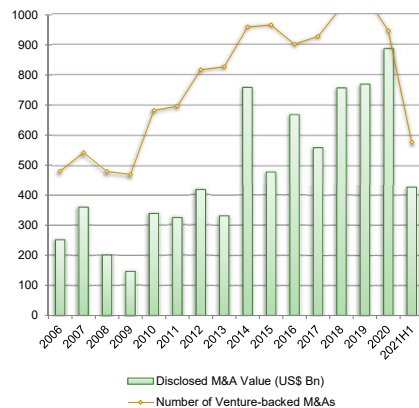
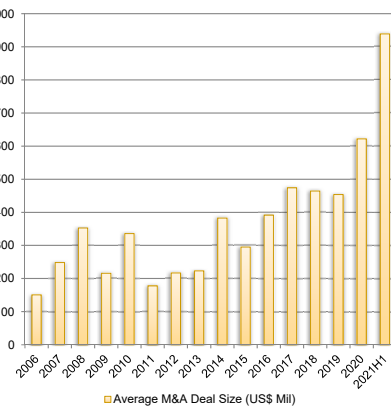


Figure: Exit: Average Venture-backed M&A Deal Size By Year



Source: NVCA & Pitchbook

U.S. VC Industry

- Exit

Figure: Median Time From Initial Equity Funding to IPO (Number of Years)

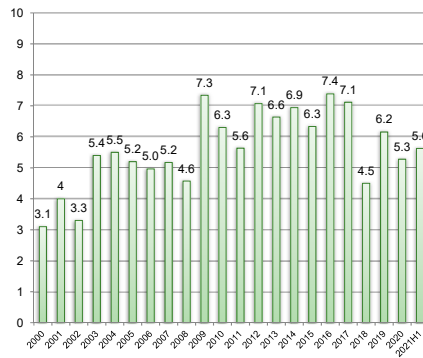
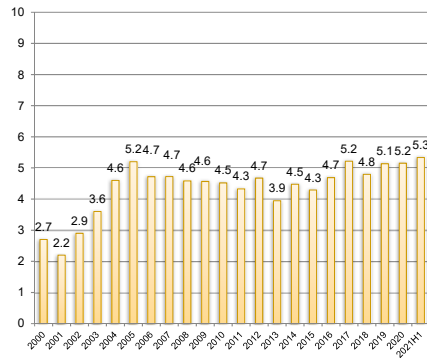


Figure: Median Time From Initial Equity Funding to M&A (Number of Years)

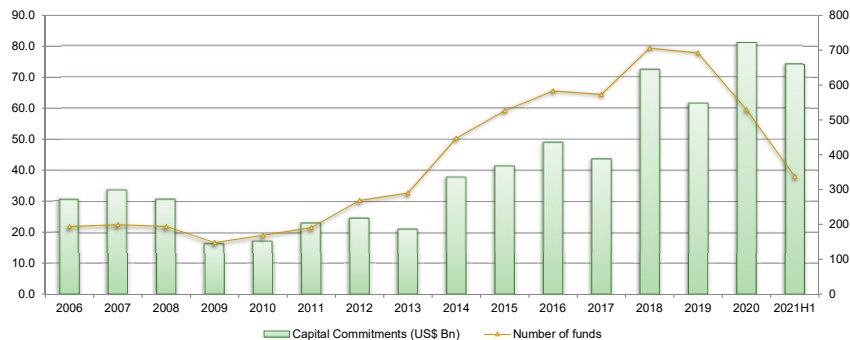


Source: NVCA & Pitchbook

U.S. VC Industry

- Fundraising

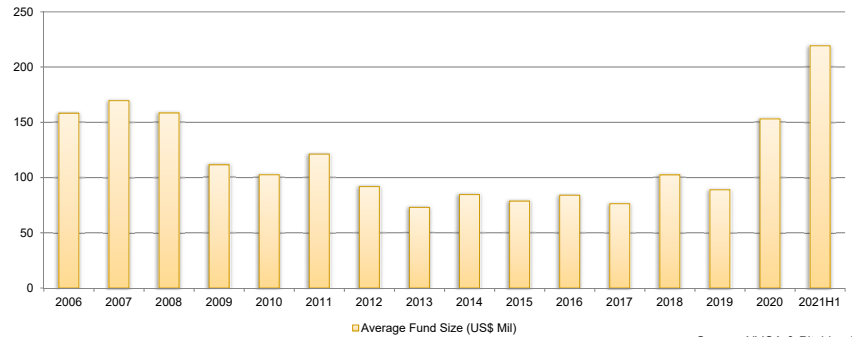
Figure: Commitment to Venture Capital Funds



Source: NVCA & Pitchbook

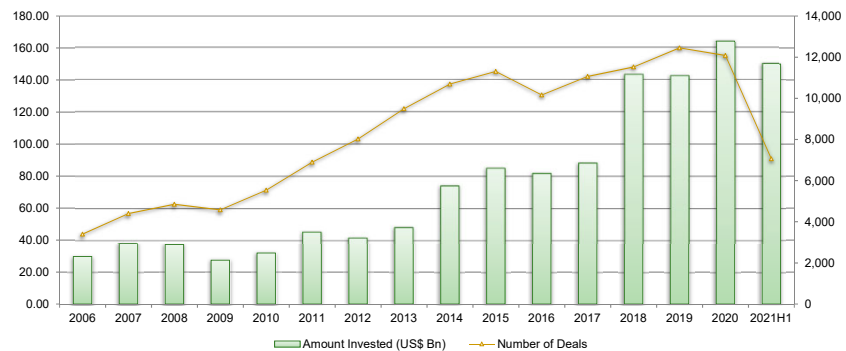
U.S. VC Industry - Fundraising

Figure: Average Fund Size By Year



U.S. VC Industry - Investment: Overall

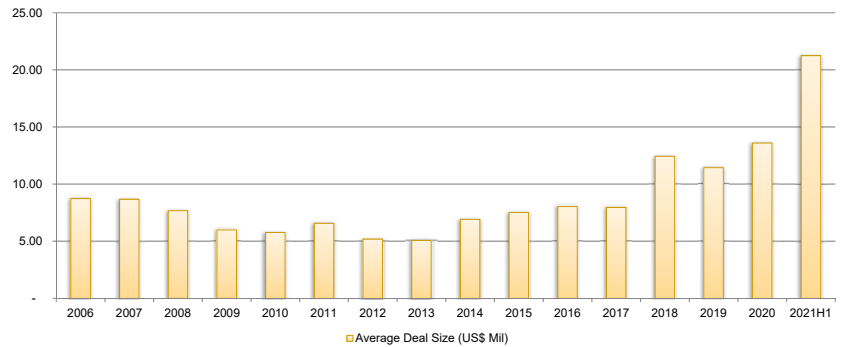
Figure: VC Investment By Year



U.S. VC Industry

- Investment: Overall

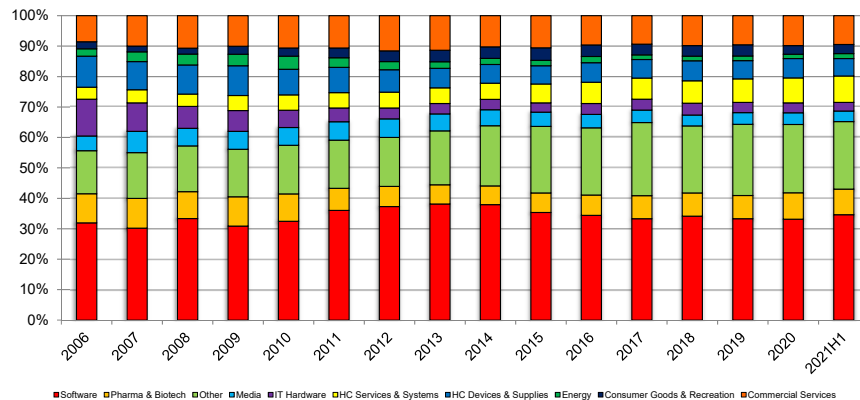
Figure: Average VC Investment Deal Size By Year



U.S. VC Industry

- Investment: Sectors

Figure: The Percent of VC Investment in Various Sectors

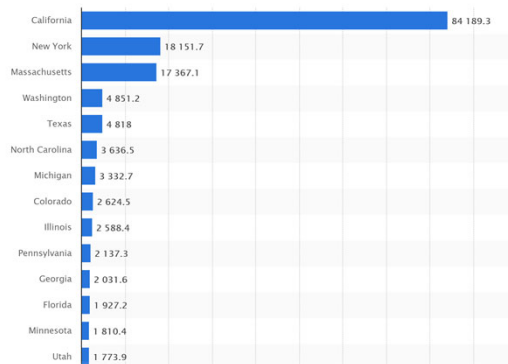


U.S. VC Industry

- Investment: Regions

Most of U.S. Investment Goes to California

Value of venture capital investment in the United State in 2020, by state(in million U.S. dollars)

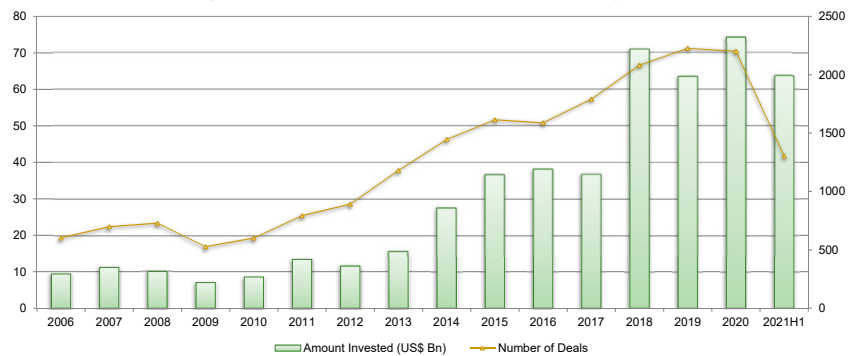


Source: Statista

U.S. VC Industry

- Investment: Corporate VC

Figure: VC Investment with CVC Participation By Year



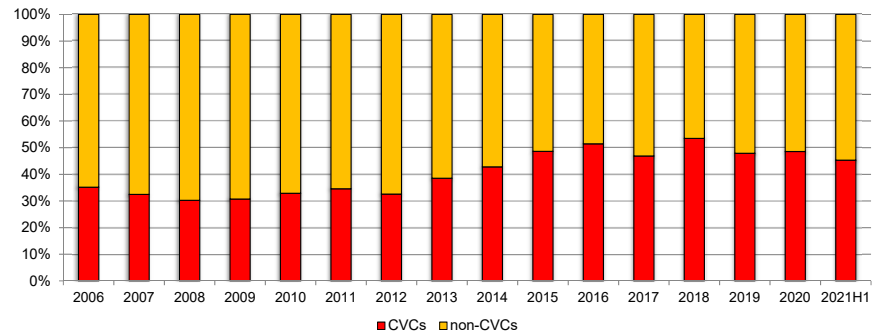
Source: NVCA & Pitchbook

U.S. VC Industry

- Investment: Corporate VC

- CVCs contributed more than 45% of the investment in the VC industry from 2015 onwards.

Figure: The Percent of Investment Coming from CVCs



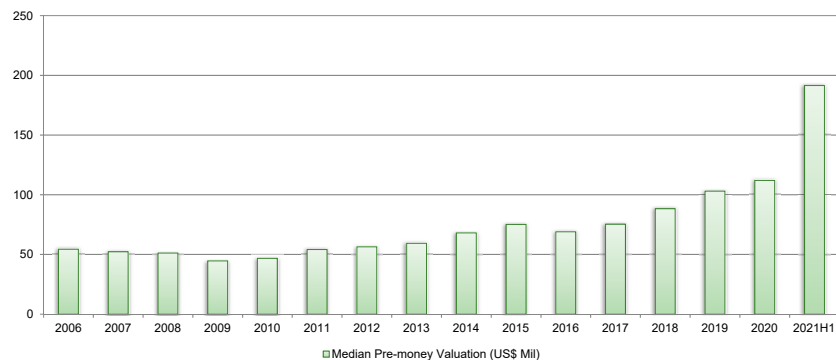
Source: NVCA & Pitchbook

U.S. VC Industry

- Investment: Valuations

- Median Pre-money Valuation has skyrocketed since 2020.

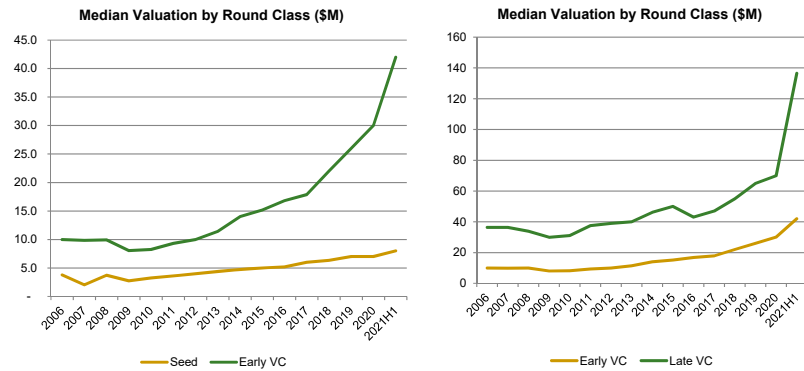
Figure: Median Pre-money Valuation by Year, VC Financing Only



Source: NVCA & Pitchbook

U.S. VC Industry - Investment: Valuations

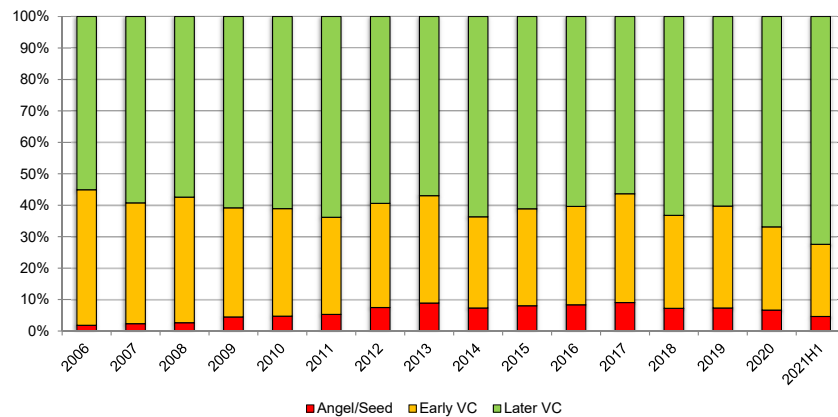
- Pre-money valuations, both for early and late stage rounds, soared in recent years.



Source: NVCA & Pitchbook

U.S. VC Industry - Investment: Stages

Figure: The Percent of VC Investment (\$) at Various Stages



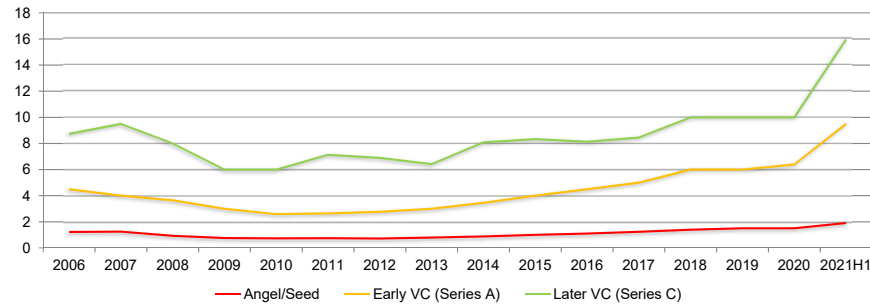
Source: NVCA & Pitchbook

U.S. VC Industry

- Investment: Stages

- The size of expansion and late stage deals has substantially increased in recent years while the size of seed stage deals remains at the \$2 million range.

Figure: Median Round Size of VC Investment in Companies at Various Stages (US\$ Million)

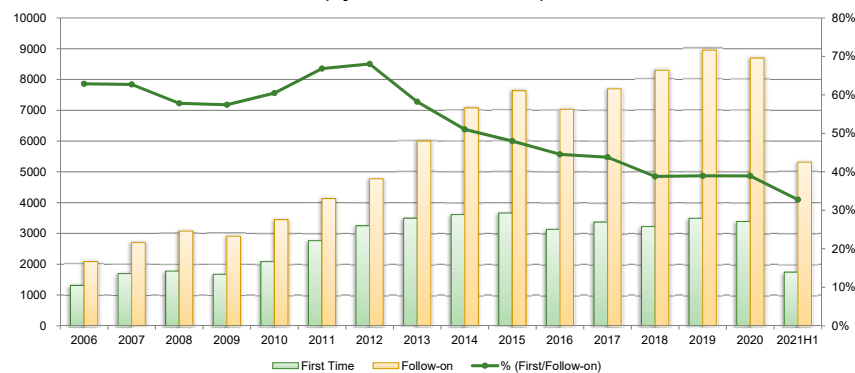


Source: NVCA & Pitchbook

U.S. VC Industry

- Investment: Stages

Figure: VC Investments: First vs. Follow-on Rounds (By the Number of Deals)



Source: NVCA & Pitchbook

U.S. VC Industry

- Investment: Stages

- Entrepreneurs need less capital in the early stage of their startups due to the dramatically improved ease and efficiency of starting a company.
- New entrants into the industry intensify the competition.

Figure: Median Round Size of VC Investment in Companies at Various Stages (US\$ Million)

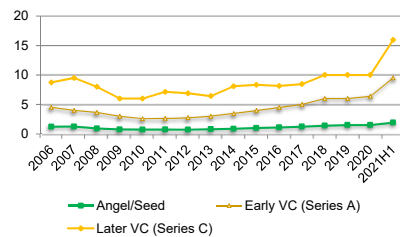
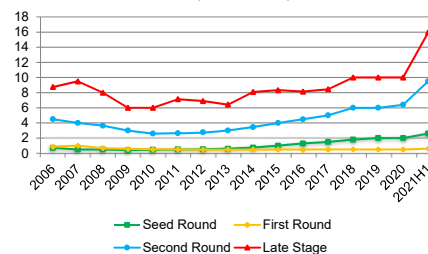


Figure: Median Valuation of VC Investment in US (US\$ Million)



Source: NVCA & Pitchbook

U.S. VC Industry

- Conclusion

- For entrepreneurs: It might be a good time to start company!
 - Easier proof points and declining capital costs for starting up.
 - Founder favorable valuations and company favorable term sheets.

Figure: Median Round Size of VC Investment in Companies at Various Stages (US\$ Million)

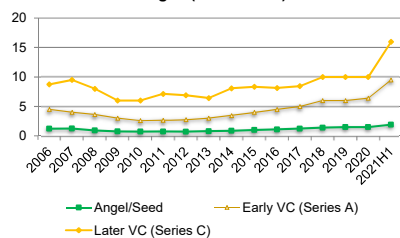


Figure: Investment Term Changes for WSGR Deals

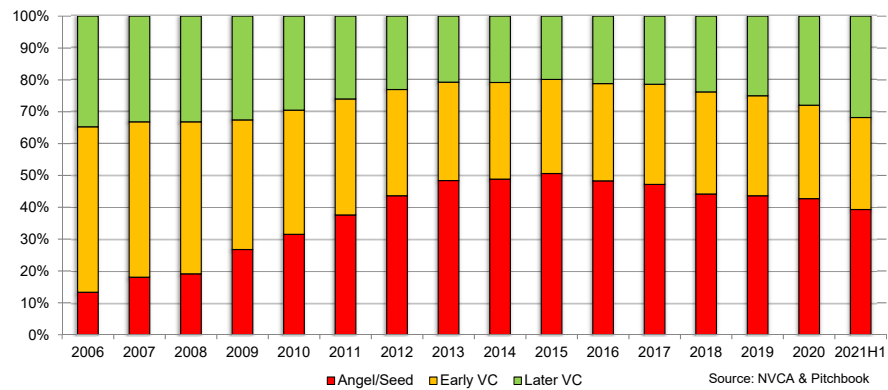
Terms	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
Non-participating Liq. Pref.	58 %	67 %	70 %	74 %	81 %	81 %	84 %	88 %	85 %	88 %
No Dividends	11 %	13 %	14 %	15 %	15 %	21 %	16 %	32 %	39 %	10 %
Broad-based Anti-dilution	91 %	92 %	95 %	89 %	80 %	92 %	95 %	94 %	94 %	95 %

Source: NVCA and WSGR

U.S. VC Industry

- Conclusion

Figure: The Percent of VC Investment (# of deals) in Companies at Various Stages

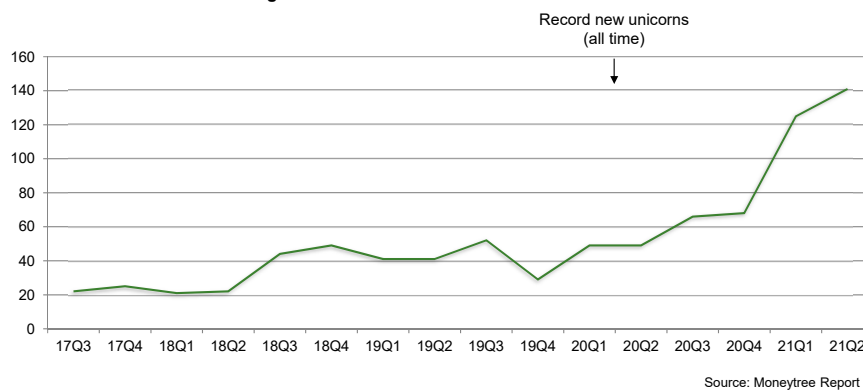


U.S. VC Industry

- Unicorns

- Q2 2021 saw 141 new US unicorns, which reach to record levels.

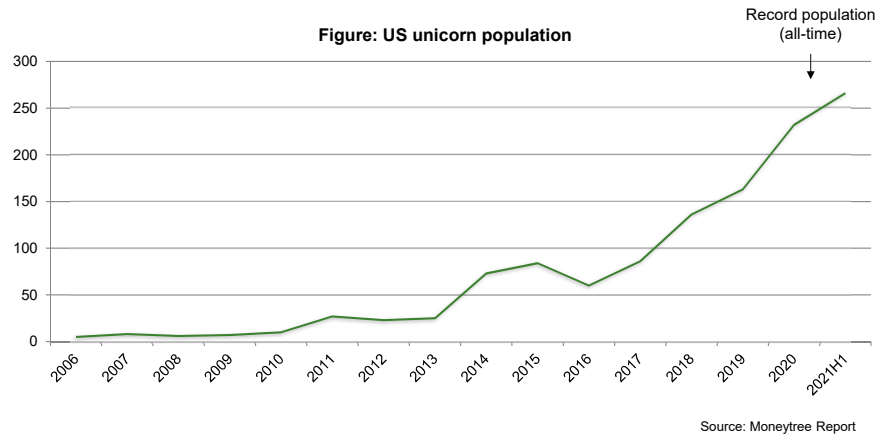
Figure: Number of new US VC-backed unicorns



U.S. VC Industry

- Unicorns

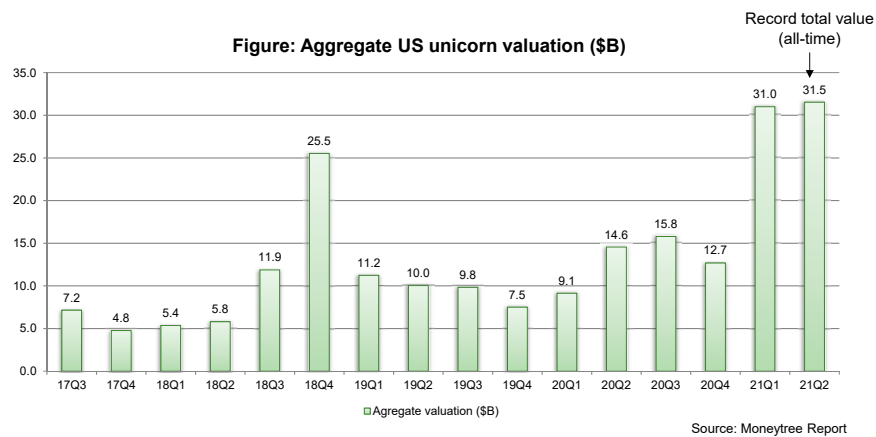
- Unicorn population is at a record level of 266, despite recent exits.



U.S. VC Industry

- Unicorns

- Total value of US unicorns remains at near record values.



U.S. VC Industry

- Unicorns

Table: Top 5 highest valued US unicorns as of Q1 2021

Company	Investment	Round	Select investors	Vertical
1 Robinhood Menlo Park, CA	\$2.4B	Convertible Note	New Enterprise Associates, Sequoia Capital, Andreessen Horowitz, Ribbit Capital	Mobile & Communications Mobile Software & Services Asset & Financial Management & Trading
2 goPuff Philadelphia, PA	\$1.2B	Series E+	SoftBank Group, Luxor Capital Group, D1 Capital Partners	Mobile & Communications Mobile Commerce Multi-Product
3 Databricks San Francisco, CA	\$1.0B	Series E+	New Enterprise Associates, Microsoft, Andreessen Horowitz	Internet Internet Software & Services Data & Document Management
3 Robinhood Menlo Park, CA	\$1.0B	Other	DST Global, Sequoia Capital, Andreessen Horowitz, Ribbit Capital	Mobile & Communications Mobile Software & Services Asset & Financial Management & Trading
5 SpaceX Hawthorne, CA	\$850M	Series E+	Sequoia Capital, Valor Equity Partners, D1 Capital Partners	Industrial Aerospace & Defense

Source: PwC/CB Insights MoneyTree™ Report Q1 2021t

Your Questions?

